LONG CPRT (NASDAQ:CPRT) | Target Price: $33.84 | Upside: 22.6% | 12M Horizon

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Recommendation: We recommend long Copart. The stock is down 40% from its 52-week high and trades at 11.2x FY26 EV/EBITDA, below the 13.2x peer median, because FY26 looked like a broken franchise: U.S. units fell 6.9%, operating margin fell for a third straight year and the CEO changed. We think FY26 stacked three temporary distortions on a business that is still compounding. At $27.59 the market implies about 1.0% a year of U.S. revenue per unit growth through FY31; we model 2.0%, against 6.1% in FY26. Our probability-weighted value is **$31.03 today and $33.84 in 12 months** (+22.6%), against about 9.8% expected from the S&P 500, with a 0.84 beta, no re-rating assumed and a defined exit test.

Business Overview: Copart is the leading online salvage-vehicle auction platform in North America and the infrastructure insurers use to dispose of total-loss vehicles. When a car is totaled, the insurer holds a damaged asset it cannot store, title, or sell. Copart tows it, stores it on company-owned land, clears title and liensW, photographs and catalogs it, and sells it online to roughly 1M members in 185 countries. The network moved 4M+ units in FY26 across 286 locations in 11 countries, and about 72.3% of volume originating from insurers. Copart primarily runs volume through its consignment model, where Copart never owns the vehicle, earns buyer, seller, and ancillary fees while carrying low inventory risk, with a consolidated gross margin of 49.8% in FY26. Copart also operates a principal model, where Copart buys and resells vehicles that generate lower margin vehicle sales revenue. Geographically, Copart profit is concentrated in the US (FY26 EBIT $1,419M of $1,653M) and holds an international presence that is smaller and faster growing ($234M).

Price (25 Sep 2026)	Market cap / EV	Net cash	EV/EBITDA FY26A / FY27E	P/E FY26A / FY27E	52-week range	Street ratings
$27.59	$25.7bn / $21.2bn	$4.49bn	11.2x / 11.1x	17.3x / 16.9x	$26.74 – $45.89	7 Buy / 4 Hold / 1 Sell

Industry Overview: Copart competes in two related markets: salvage resale and clean-title wholesale. **In salvage resale**, insurers outsource towing, storage, title processing, and auctions for totaled vehicles. This is a North American duopoly, where Copart and RB Global's IAA hold more than 80% of market share. The barriers are physical (industrially zoned land near metros, surge capacity for catastrophe events) plus buyer liquidity, which acts as a network effect. Volume is the product of claim frequency and total-loss rate, and macro forces are pulling the two in opposite directions. Near-term, weak assignments are a headwind, even as total-loss frequency hits a record high. Structurally, repair-cost inflation is the tailwind. Total losses reached 23.1% of claims in 2025,with the average U.S. light vehicle being 12.8 years old. Copart's edge is thus its wholly-owned dense yard network, insurer integrations, and the ability to pair large inventories with international bidders, who account for 45.8% of U.S. auction dollars.

In **clean-title wholesale,** dealers redistribute trade-ins and excess inventory. Manheim is the largest operator, followed by ADESA, while OPENLANE and ACV(~8%) are the leading digital platforms. With Copart's ACV acquisition pending, this is the market that opens once the transaction goes through. Copart runs mostly on consignment (U.S., Canada, Brazil, Gulf, and Nordic markets), with the UK, Germany, and Spain mixing consignment and principal.

Across both markets, competition is a risk. IAA has reportedly cut cycle times and lifted its share of Progressive salvage units from ~75% to ~90% and RB Global reported 11% auto unit growth in Q2 2026 after integrating additional volume from its largest insurance partner across 30 states in 90 days.

Thesis 1: The market is reading an investment year as a broken business. At $27.59, Copart trades at 11.2x FY26 EV/EBITDA. We think that FY26's headline numbers stack three distortions, none of which indicate the fundamentals are broken. **First, a hurricane comparison:** U.S. service revenue fell 1.8% in FY26, which the 10-K attributes to lapping FY25's one-off Helene and Milton revenue and to lower volume.. **Second, one lost customer:** U.S. units fell 6.9%, but excluding a single departed carrier, Q4 domestic insurance assignments grew 2.3%. **Third, deliberate cost step:** in Q4, U.S. facility cost per unit rose 14.2% while international's rose just 1.2%. The step is tied to named buildouts (25 dedicated wholesale facilities, long haul delivery improvements, TitleExpress) whose cost arrived far before volume and margin efficiencies. Operating margin has fallen three straight years, from 38.4% to 35.4%, but G&A explains about 90% of the decline, rising from 6.5% to 9.2% of revenue, which the 10-K ties to investment in the business and sales force for FY25. The thesis therefore needs only partial reversal: we model U.S. cost per unit flat in FY27, down 1% in FY28, then rising with inflation, with G&A growing at 3.5-4% a year. Margin dips again in FY27 to 40.1% as units fall over fixed yard costs, then recovers to 41.6% by FY31, still below FY23's 42.5% (Figure 1).

Figure 1. EBITDA margin, base case

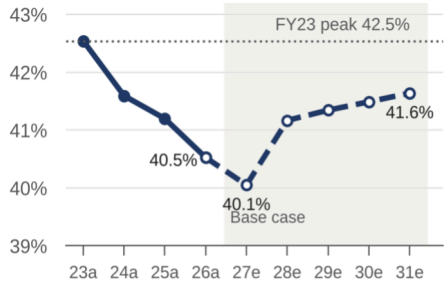


Figure 2. U.S. unit growth, reported vs ex lost customer

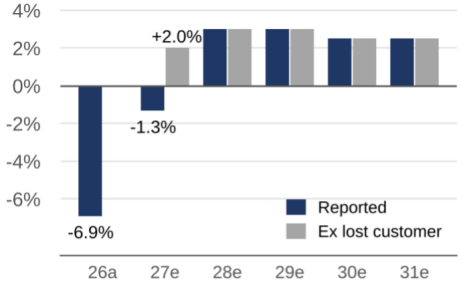
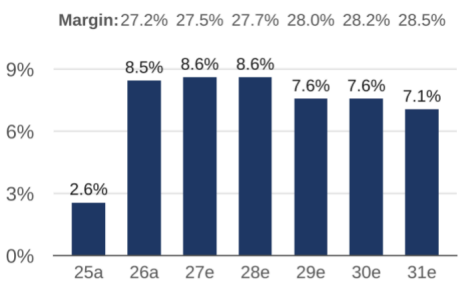


Figure 3. International segment operating margin



Thesis 2: The market overestimates how long the U.S. insurance-volume contraction persists. Assignments lead auction sales, so the ex-customer growth noted in Thesis 1 is an early signal. Insurer economics have turned: the personal-auto combined ratio improved from 95.3% in 2024 to 91.8% in 2025, and State Farm went from $2.7B auto underwriting loss to a $4.6B profit before cutting premium rates by around 10% across 40 states. Florida's 5 largest groups (~78% of the local market) signaled ~8% cuts for 2026. Cheaper collision and comprehensive coverage reduces lapses and lets more damaged vehicles enter insurer salvage channels. The lost customer does not explain all of FY26's -6.9%: lapping catastrophe units and soft claim counts explain the rest, so we assume no rebound. We assume the lost volume is never recovered (95.5% retention on a 72.3% insurance share), retained insurance units grow 1.6% and non-insurance 3.0%. Reported U.S. units fall 1.3% in FY27 while the underlying business grows 2.0% (Figure 2), then grew 3.0%, 3.0%, 2.5% and 2.5%. With revenue per unit up 2%, U.S. revenue grows 0.7% in FY27 and about 5% a year after (4.0% CAGR).

Thesis 3: International growth is more durable than investors assume. New UK capacity is identifiable: Dunfermline's 25-acre site adds room for about 30,000 vehicles a year and Gloucester's 30-acre site is being redeveloped, both due in 2026. A major German insurer moved from purchased-vehicle arrangements to full consignment in FY25, which validates the service model and cuts the inventory Copart must finance. Q4 international assignments rose 10%, fee units 11.5% and fee revenue per unit 3.5%, led by the UK and Canada. We are careful with the base: FY26 international service revenue rose 12.4% reported but about 8% in constant currency, so our 7% unit growth (fading to 6%) is an acceleration supported by Q4, not by FX. International margin rises from 27.2% to 28.5% (Figure 3), lifting segment operating income from $234M to $357M by FY31.

Valuation: Our five-year unlevered DCF (FY27-31E, mid-year convention) grows revenue from $4,666M to $5,878M (4.7% CAGR). It uses a 9.0% WACC (risk-free 5.18%, beta 0.84, ERP 4.60%) and an 11.3x FY31 exit multiple, roughly today's 11.2x, so no re-rating is needed. The base DCF gives $29.49; FY+1 trading comps (RB Global, OPENLANE, LKQ, AUTO1) give $32.36; the 50/50 blend is $30.92. Weighting Bull, Base and Bear 25/50/25 gives $31.03, and rolling that forward 12 months at our 9.0% cost of equity (no dividend) gives the **$33.84 target**. We state the weak points openly: terminal value is 78% of EV, a 2.75% Gordon growth terminal gives $26.66, and 29% of 5,000 Monte Carlo runs land below the price. The case rests on margin recovery, which is why our exit test is tied to it. We value the pending $1.9B ACV acquisition at its cash cost; writing it to zero would cost about $2.04 a share.

Figure 4. Football field analysis ($ per share)

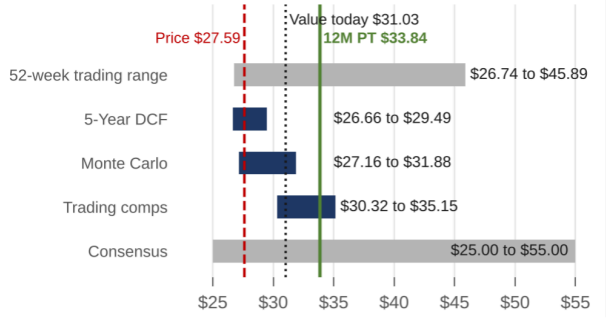


Figure 5. Scenarios and target build

Scenario	Prob.	DCF	Comps	Blend
Bull: US units +4%, RPU 3%, 13.2x exit	25%	$38.02	$36.93	$37.48
Base: unit calc, RPU 2%, 11.3x exit	50%	$29.49	$32.36	$30.92
Bear: US units -3% then flat, RPU 1%, 10.19x	25%	$22.99	$26.63	$24.81
Probability-weighted value today		$30.00		**$31.03**
12-month target (x 1.090 cost of equity)				**$33.84**
Upside today / Bear downside / risk:reward				+12.5% / -10.1% / 1.2x

RPU = U.S. revenue per unit growth. Comps: FY+1 EV/EBITDA, P/E and EV/cash EBITDA medians. Bear exit is the market-implied multiple.

Event Path & Catalysts: (1) **Q1 FY27 results (mid-November 2026):** U.S. cost per unit and ex-customer assignments, the first test of Theses 1 and 2. (2) **ACV close (targeted by end of calendar 2026)** and capital allocation: $4.49B of net cash, a remaining buyback authorization of about 282M shares (about 30% of the share count), and a 10-K that says management is "considering a variety of alternative potential uses for our remaining cash." (3) **Q2 FY27 results (February 2027):** the lost customer begins to lap and reported U.S. assignments should turn positive. (4) **Through 2027:** further carrier rate cuts lifting insured vehicle counts, and utilization at Dunfermline and Gloucester.

Key Risks & Mitigants:

Risk	What could go wrong	Mitigant
Insurer concentration	Insurers supply 72.3% of units; IAA reportedly lifted its share of Progressive salvage from about 75% to 90%, and RB Global grew auto units 11% in Q2 2026.	Ex-customer assignments still grew 2.3%. Our Bear case has U.S. units -3% in FY27 and flat after, and still values the stock at $24.81 (-10%).
Margins fail to recover	Q4 FY26 operating income fell 10.6% on revenue up 2.4% as facility costs rose 7.7%.	The decline is mostly G&A tied to named investments, and non-land capex rose. We exit if U.S. cost per unit rises more than 5% without a volume recovery, or G&A grows faster than FY26's 7.0%, in Q1 or Q2 FY27.
ACV dilution	Copart pays about 25x forward EBITDA for a business with roughly 2% EBITDA margins.	Management guides EPS-neutral in year one and accretive from FY28; it is 7% of market cap, and a full write-off costs about $2.04 a share.
Coverage does not return	Drivers can switch carriers or raise deductibles; Florida's cuts partly reflect legal reform.	We assume a gradual recovery only and track insured vehicle counts, not premiums.
International execution	New yards may cannibalize old ones, and international G&A rose about 29% in FY26.	Holding margin flat at 27.2% still gives $341M of FY31 segment operating income; the Bear case gives about $285M.

Link to model